CONSOLIDATED MULTI-YEAR FINANCIAL & OPERATIONAL REVIEW

Aetheris Systems Inc. — Annual Report (FY2023–FY2025)

Ticker: AETH (NASDAQ) • Headquarters: Austin, Texas • Fiscal Year End: December 31 • Currency: USD ($ in Millions)

1. Executive Summary & Letter to Shareholders

Over the three-year period spanning fiscal years 2023 through 2025, Aetheris Systems Inc. transitioned from a licensed on-premises infrastructure vendor into a high-margin enterprise cloud orchestration and observability platform. Consolidated annual revenue increased from $412.5 million in FY2023 to $628.4 million in FY2025, representing a compound annual growth rate (CAGR) of 23.4%.

In FY2025, Annual Recurring Revenue (ARR) reached $665.0 million, up 26.9% year-over-year from $524.0 million in FY2024. Operating discipline enabled GAAP operating margin expansion from 8.4% in FY2023 to 15.8% in FY2025, even as the company increased research and development investment in automated telemetry and edge-node security.

> **Key Three-Year Performance Highlights:** Total enterprise customer count grew from 2,140 in FY2023 to 3,290 in FY2025. Customers generating over $100,000 in ARR expanded from 615 to 1,042 over the same period, while Net Dollar Retention (NDR) remained consistently above 116% across all three fiscal years.

2. Consolidated Income Statement (FY2023–FY2025)

The following table summarizes Aetheris Systems Inc.'s audited consolidated statements of operations for the fiscal years ended December 31, 2023, 2024, and 2025. All dollar figures are reported in millions, except per-share data.

Line Item ($ in Millions, except EPS)	FY2023	FY2024	FY2025	2-Yr Change
Cloud Subscription & Support Revenue	$328.0	$435.6	$562.8	+71.6%
Perpetual License & Legacy Maintenance	$54.2	$41.8	$29.4	-45.8%
Professional Services & Training	$30.3	$34.6	$36.2	+19.5%
Total Revenue	**$412.5**	**$512.0**	**$628.4**	**+52.3%**
Cost of Revenue	$115.5	$133.1	$154.0	+33.3%
Gross Profit	**$297.0**	**$378.9**	**$474.4**	**+59.7%**
Gross Margin (%)	72.0%	74.0%	75.5%	+350 bps
Research & Development (R&D)	$98.2	$118.4	$141.2	+43.8%

Line Item ($ in Millions, except EPS)	FY2023	FY2024	FY2025	2-Yr Change
Sales & Marketing (S&M)	$124.0	$148.5	$175.8	+41.8%
General & Administrative (G&A)	$40.2	$48.2	$58.1	+44.5%
Operating Income (GAAP)	**$34.6**	**$63.8**	**$99.3**	**+187.0%**
Operating Margin (%)	8.4%	12.5%	15.8%	+740 bps
Net Interest & Other Income, Net	$3.1	$5.4	$8.2	+164.5%
Provision for Income Taxes	$7.9	$14.5	$22.6	+186.1%
Net Income (GAAP)	**$29.8**	**$54.7**	**$84.9**	**+184.9%**
Diluted Earnings Per Share (EPS)	$0.46	$0.82	$1.24	+169.6%

3. Business Segment & Regional Performance

Aetheris Systems operates across three core software product lines: **AetherCore** (automated cloud workload orchestration), **AetherWatch** (real-time distributed tracing and log analytics), and **AetherShield** (zero-trust runtime policy enforcement). In FY2024, AetherWatch overtook AetherCore as the primary driver of net new ARR due to multi-cloud adoption among financial services and healthcare enterprises.

Revenue by Product Line ($M)	FY2023	FY2024	FY2025	FY2025 Share
AetherCore (Cloud Orchestration)	$198.0	$225.3	$257.6	41.0%
AetherWatch (Observability & Logs)	$140.2	$194.6	$251.4	40.0%
AetherShield (Runtime Security)	$44.0	$57.5	$83.2	13.2%
Professional Services & Training	$30.3	$34.6	$36.2	5.8%
Total Consolidated Revenue	**$412.5**	**$512.0**	**$628.4**	**100.0%**

Geographic Revenue Distribution

North America remained the company’s largest geographic market, generating $389.6 million or 62.0% of total revenue in FY2025, compared to $268.1 million (65.0%) in FY2023. Europe, the Middle East, and Africa (EMEA) expanded from $99.0 million in FY2023 to $163.4 million in FY2025 following the opening of sovereign cloud data centers in Frankfurt and Dublin in Q2 2024. Asia-Pacific (APAC) grew from $45.4 million in FY2023 to $75.4 million in FY2025, led by enterprise deployments in Japan, Australia, and Singapore.

4. Balance Sheet, Cash Flow & Operational KPIs

Strong operating cash flow generation allowed Aetheris Systems to fund capital expenditures internally and complete the $42.0 million cash acquisition of Kestrel Telemetry Ltd. in August 2024 without issuing new debt. Free Cash Flow (FCF) margin improved from 11.8% in FY2023 to 19.4% in FY2025.

Balance Sheet, Cash Flow & SaaS Metrics	FY2023	FY2024	FY2025
Cash, Cash Equivalents & Marketable Securities ($M)	$184.5	$215.2	$312.8
Total Assets ($M)	$462.0	$568.4	$715.9
Deferred Revenue ($M)	$192.4	$248.0	$318.5
Total Long-Term Debt ($M)	$50.0	$50.0	$25.0
Operating Cash Flow ($M)	$61.2	$96.5	$138.4
Capital Expenditures ($M)	$12.5	$15.8	$16.5
Free Cash Flow ($M)	**$48.7**	**$80.7**	**$121.9**
Annual Recurring Revenue — ARR ($M)	$418.0	$524.0	$665.0
Net Dollar Retention Rate (NDR)	117%	119%	118%
Total Active Enterprise Customers	2,140	2,685	3,290
Customers with ARR > $100,000	615	812	1,042
Full-Time Employees (Year-End Headcount)	1,420	1,690	1,945

5. Risk Factors & Strategic Priorities for FY2026

Management monitors several operational and macroeconomic risks that could influence future financial results:

- **Cloud Infrastructure Hosting Costs:** Aetheris relies on third-party hyperscale cloud providers for compute and storage delivery. Multi-year committed spend agreements signed in Q1 2025 locked in volume discounts, though sudden ingestion spikes from customer log volumes could temporarily compress gross margins by 50 to 100 basis points.
- **Foreign Currency Volatility:** With 38.0% of FY2025 revenue generated outside North America, fluctuations in the Euro, British Pound, and Japanese Yen affect reported USD revenue growth rates.
- **Enterprise IT Budget Scrutiny:** Longer procurement cycles for deals exceeding $500,000 in annual contract value remain common in the manufacturing and retail sectors.

For FY2026, strategic priorities center on expanding AetherShield adoption within regulated European banking institutions, integrating Kestrel Telemetry’s predictive anomaly engine across all AetherWatch tiers, and targeting full-year revenue between $760.0 million and $775.0 million.